

Axis Bank Personal Loan – Rulebook & Policy

Plain-language consolidated reference

Important: This document is a reference summary of Axis Bank's publicly available Personal Loan Terms & Conditions and product information. It is **not an Axis Bank-issued contract**. The borrower's Key Fact Sheet, sanction letter, loan agreement, applicable schedule of charges and current Axis Bank/RBI requirements prevail if there is any difference.

1. Nature of the Loan

- Axis Bank Personal Loans are generally unsecured loans; the current product page describes them as requiring no collateral.
- The loan is governed by the Personal Loan Agreement together with the Key Fact Sheet and other documents executed by the borrower.
- The lender-borrower relationship continues until all amounts due under the loan and related documents have been fully paid.

2. Current Product Parameters

- Axis Bank's current Personal Loan page lists loans up to ₹40 lakh and tenure up to 84 months, subject to eligibility.
- The page currently states an interest rate starting from 9.99% p.a. and processing fees up to 2% of the loan amount plus GST.
- Eligibility depends on factors such as age, income, employment, credit profile and existing liabilities.

3. Interest and APR

- The current Personal Loan Terms & Conditions document states that the interest rate specified in the loan schedule is fixed for the entire tenor for that agreement.
- The agreement defines APR as an annualised credit cost including interest and loan origination charges.
- Interest accrues from the date the loan account is opened for disbursement. The first EMI may therefore reflect the actual number of days until the first due date.
- Interest is stated to be computed on a 365-day basis in the agreement.

4. EMI and Repayment

- The borrower must repay through the EMI and repayment mechanism stated in the Key Fact Sheet.
- The agreement requires the borrower to make timely EMI payments without relying on reminders or notices from the bank.
- EMIs contain principal and interest components. Additional penal charges, fees, taxes and expenses may be separately recoverable.
- The borrower should keep the repayment account adequately funded before the EMI due date where ECS/NACH/Standing Instruction is used.

5. Disbursement

- Subject to the Key Fact Sheet and applicable conditions, disbursement may be through IMPS, NEFT, RTGS, payment order or demand draft.
- Funds may be paid to a previous financier for takeover, to a party nominated by the borrower, or to the borrower, as permitted by the bank.
- The bank may require employment certificates, financial statements, repayment mandates and other documents before disbursement.
- Charges associated with disbursement may be borne by the borrower.

6. Cooling-off / Cancellation

- The current agreement provides a 0–3 day cooling-off/free-look period from disbursement during which there are no foreclosure charges for cancellation.
- Interest up to the cancellation date, processing fee, stamp duty, statutory charges and GST are not necessarily waived or refunded.
- Cancellation after the cooling-off period is treated as foreclosure and the prevailing foreclosure charges may apply.

7. Prepayment / Foreclosure

- Early repayment can attract foreclosure charges where specified in the Key Fact Sheet.
- The exact foreclosure rate should be checked in the borrower's Key Fact Sheet because the agreement refers to the rate stated there.
- Axis Bank's current customer-support information also provides a process for part payments and foreclosure; applicable charges depend on the particular loan.

8. Default and Penal Charges

- Amounts not paid when due, including EMI arrears and certain other amounts debited to the loan account, may attract penal charges as specified in the Key Fact Sheet/schedule of charges.
- Delay or non-payment constitutes a default and can trigger the bank's contractual remedies.
- If amounts in default and applicable charges remain unpaid for 90 days from the due date, the agreement states that the loan/drawal account shall be classified as an NPA, subject to applicable regulatory rules.

9. Events of Default

- The agreement permits the bank to demand immediate repayment of outstanding sums upon specified events of default.
- Examples include failure to pay amounts when due, breach of loan conditions, materially incorrect information, insolvency/bankruptcy events, and certain employment cessation events.
- Where applicable, the bank may enforce security or other contractual remedies.

10. Borrower's Key Obligations

- Provide complete and accurate information and documents.
- Use the loan proceeds only for permitted personal purposes.
- Promptly inform the bank about relevant changes in employment or address.
- Maintain the repayment mandate/account and ensure sufficient funds for EMI debits.
- Comply with the bank's applicable rules and the loan agreement throughout the loan tenure.

11. Restrictions on Use of Funds

- The current agreement states that loan proceeds must not be used for purchase of gold in specified forms, investment in certain small-savings instruments, dealing in virtual currencies, or speculative, illegal or anti-social purposes.
- The agreement states that the end use is for personal purposes only.

12. Bank's Rights

- The bank may, subject to the agreement and applicable law, revise/reschedule repayment terms and may amend specified contractual terms as provided in the agreement.
- The bank may disclose relevant borrower/account/default information to permitted entities such as credit information agencies and regulatory or affiliated entities as provided by the agreement and law.
- The bank may assign, securitise or transfer the loan/facility and outstanding amounts subject to the agreement.

- The agreement contains a lien/set-off provision over eligible balances held with the bank.

13. Employment Cessation

- The agreement contains provisions allowing the bank, in specified circumstances, to require repayment or seek amounts payable to the borrower from an employer when the borrower resigns, retires early, or is discharged/removed before superannuation.
- The exact enforceability and application of such provisions are subject to the agreement and applicable law.

14. Payment Appropriation

- For applicable Axis Bank savings-account borrowers, the agreement specifies an order for appropriating payments: costs/charges/expenses, penal charges and loss of profit on defaulted amounts, foreclosure charges, interest, and principal.

15. Credit Bureau / Information Sharing

- Axis Bank may report repayment conduct and defaults to credit information agencies and share information with permitted regulatory, financial and service-provider entities as provided by the agreement and applicable law.
- Borrowers may also be required to provide or authenticate financial information where required under applicable insolvency and regulatory frameworks.

16. Fair Practice and Customer Documents

- Axis Bank's Code of Commitments states that customers should receive the Most Important Terms and Conditions governing the loan/credit facility.
- The bank states that it will provide a sanction letter, repayment/amortisation information and copies of executed loan documents as applicable.
- The bank's Fair Practice Code for Lenders applies to loans subject to its terms.

17. Governing Law and Dispute Resolution

- The current Personal Loan Terms & Conditions document states that Indian law governs the agreement.
- The retrieved agreement specifies arbitration under the Arbitration and Conciliation Act, 1996, and states Chennai as the seat and venue of arbitration, with English as the language.
- It also states that courts at Chennai, Tamil Nadu have exclusive jurisdiction, subject to the agreement and applicable law.

18. Important Charges to Verify in Your Own Loan

Item	Where to verify
Interest rate	Key Fact Sheet / sanction letter
APR	Key Fact Sheet
Processing fee + GST	Key Fact Sheet / schedule of charges
Foreclosure charge	Key Fact Sheet / current schedule
Part-payment charge	Loan-specific terms / current Axis Bank schedule
Penal charges	Key Fact Sheet / schedule of charges
EMI dishonour / mandate failure	Loan agreement / schedule of charges
Stamp duty / statutory charges	Loan documents / applicable law

19. Borrower Checklist Before Signing

- Confirm sanctioned amount and net disbursal amount.
- Confirm interest rate and whether the loan schedule describes it as fixed.
- Confirm APR.
- Confirm EMI, due date and total tenure.
- Confirm processing fee, GST and all other upfront deductions.
- Confirm foreclosure and part-payment charges.
- Confirm penal charges and EMI dishonour charges.
- Read the Events of Default section.
- Check permitted and prohibited end-use conditions.
- Check the cooling-off/cancellation clause.
- Keep a copy of the Key Fact Sheet, sanction letter and signed loan agreement.
- Check the current Axis Bank schedule of charges before making any prepayment.

20. Official Axis Bank Documents

Official Personal Loan Terms & Conditions: [Axis Bank Personal Loans Terms and Conditions PDF](#)

Official Personal Loan product page: [Axis Bank Personal Loan](#)

Axis Bank Code of Commitments: [Code of Commitments PDF](#)

Prepared on 24 September 2026. This summary is based on Axis Bank's publicly available documents retrieved for this response. Product terms and charges can change; the borrower's current Key Fact Sheet and loan agreement should always be treated as the controlling documents.